called as cooperative banks because these have cooperation of stakeholders as motive. If some individuals come together, they can establish a cooperative bank. Cooperative banks are established with the aim of funding agriculture and allied sectors and to finance village and cottage industries. Along with lending, cooperative banks accept deposits. They operate on the principle "one person one vote" in decision-making. NABARD (National Bank for Agriculture and Rural Development) is the apex body of cooperative sector in India.

NABARD

NABARD is also called as the National bank. Previously, the functions of NABARD viz., financing of agriculture and refinancing of cooperative banks and RRBs was done by Agriculture Refinance Development Corporation (ARDC) of RBI. NABARD was set up in July 1982. It took over the functions of Agriculture Refinance Development Corporation (ARDC).

The Composition of Cooperative Banks

The cooperative banks are divided into urban and rural. Further, they are divided into short term and long term structure. It is shown in figure 7.7.

Figure 7.7